

INTERNAL AUDIT REPORT

Financial Transaction Audit | Report No. AR-02304

Report ID:	AR-02304
Audit Type:	Financial Transaction Audit
Report Date:	October 22, 2024
Audit Period:	2024-05-30 to 2024-09-29
Lead Auditor:	Derek Cannon (EMP-62173)
Reviewed By:	Alexander Jensen (EMP-58868)
Primary Vendor Reference:	NorthBridge Supplies Ltd (VND-01422)
Subject Employee Reference:	Paul Chase (EMP-32973)
Primary Transaction Reference:	TXN-C797962182
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This financial transaction audit covered the period 2024-05-30 to 2024-09-29 and examined transactions, approvals, and compliance records associated with vendor NorthBridge Supplies Ltd (VND-01422) and employee Paul Chase (EMP-32973). The audit identified 4 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C797962182 (amount 20,400.13 USD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-001160	HIGH	MISSING RECEIPT	Expense claim missing receipt. Policy POL-0018 requires receipts for all claims above \$200.
FND-000702	MEDIUM	VENDOR RISK	Vendor LucentBridge Technologies Inc holds CRITICAL risk rating. 3 payments totalling \$5,320 processed in the audit period.

Finding ID	Severity	Category	Description
FND-002389	MEDIUM	POLICY BREACH	Expense claim of \$152,061 for Equipment exceeds the policy maximum of \$5,000. Overage: \$20,448.
FND-000482	MEDIUM	APPROVAL LIMIT	Approval granted by EMP-38688 who was not authorised to approve amounts above \$100,000. Transaction value: \$236,285.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-002901	AUDIT REPORT	EVD-ORE-3546	0.76
EVI-003877	CONTRACT RECORD	EVD-UHJ-4802	0.98
EVI-004023	APPROVAL RECORD	EVD-KTT-3483	0.71
EVI-004260	AUDIT REPORT	EVD-OOU-5255	0.89
EVI-006453	TRANSACTION RECORD	EVD-URC-6598	0.88
EVI-006560	TRANSACTION RECORD	EVD-YDH-9944	0.70

5. RECOMMENDATIONS

- Require compliance certificate verification as a system gate prior to payment release.
- Review and update vendor risk ratings following adverse compliance findings.
- Introduce automated system validation to block approvals exceeding the approver's authorised limit.

6. MANAGEMENT RESPONSE

Management agrees with the findings and has committed to implementing the recommended controls within 90 days.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Derek Cannon	EMP-62173	2024-10-22
Reviewing Officer	Alexander Jensen	EMP-58868	2024-10-24